

Niva Bupa Health Insurance Company Ltd.

Company Overview:

Niva Bupa Health Insurance Co. Ltd. (NBHICL) is a leading health insurance provider in India, offering a holistic healthcare ecosystem that empowers customers to access quality care. It has a comprehensive portfolio of innovative health insurance products across all customer lifecycle stages. With a market share of 17.29% in the SAHI sector as of Aug'24, it serves nearly 15 million lives, driven by innovative products like 'ReAssure' and 'Aspire' and the 'Niva Bupa Health' app. Supported by over 152,000 individual agents, 486 brokers, 5,500 point-of-sale persons, 210 branches and 8,555 employees, NBHICL is backed by the global Bupa Group and focuses heavily on the retail health insurance segment.

Key Highlights:

1. Granular retail health insurer with a focus on delivering robust GWP growth:

The company is the third largest and the second fastest growing SAHI in India based on overall health GDPI in FY24, with a 2-year CAGR of 41.37% from FY22 to FY24. The company retail health GWP was Rs 3,840 cr in FY24 with a 2-year CAGR growth of 33.4% from FY22 to FY24. The company has a market share in the Indian SAHI market of 17.3%, 16.2%, for YTD FY25 (Apr'25 – Aug'25) and YTD FY24 (Apr'24 – Aug'24), based on retail health GDPI. The company has a market share of 9.9% and 15.0% in the retail health market and retail health accretion market. The company's focus on higher LTV and the higher margin products in the retail health line of business resulted in a contribution of 73.7% and 70.7% of the new retail health indemnity policies with a sum insured of over Rs 1 cr for the 1QFY25 and FY24, respectively.

2. Customer-centric proposition driving customer experience and retention:

The customer-centric approach is driven by product innovation. The company has demonstrated a track record of innovation, launching products with industry-first features. The company's Reassure and Reassure 2.0 products are one of the leading health insurance products on the market with unique industry-first features such as (a) 2 Hours Hospitalization, (b) Lock the Clock, (c) ReAssure Forever, (d) Extended Family First. The ReAssure Benefit feature is the first of its kind in India in terms of offering unlimited reinstatement/refill of the sum insured in a policy year. The company's Aspire product contains several industry-first features such as M-iracle, Cash-bag and Future Ready, and the company's Senior First product offers industry-first features such as 2 Hours Hospitalization.

3. Technology-led automated approach to customer servicing:

The company has implemented automated and digital self-serve capabilities, with 99.9% of new policies in FY24 being applied digitally. They have an auto-underwriting system that auto-decided 51.8% of retail policies in FY24. The company offers various self-serve options including a chatbot, Insta Assist portal, and a conversational AI-driven chatbot named Cia. They have also adopted auto-adjudication capabilities through an arrangement with Vitraya Technologies Private Limited for processing cashless claims with minimal human intervention.

Valuation: Niva Bupa Health Insurance Co. Ltd. has demonstrated solid growth in Gross Written Premium (GWP), with a 33.4% CAGR over the FY22-24 period with focus on building a granular and profitable retail health insurance franchise. However, for 1QFY25, the company reported a loss of Rs. 18.8 crore on a GWP of Rs. 1,464.2 crore, reflecting the typically slower first half of the fiscal year. Post issue at the upper price band, the company is valued at an FY24 P/E ratio of 165x and an FY24 P/BV ratio of 4.7x. Given the premium valuation, we find the issue overvalued and recommend Avoid. We will revisit our analysis after the stock is listed to assess further opportunities.

Issue Details	
Date of Opening	7 th November 2024
Date of Closing	11 th November 2024
Price Band (Rs)	70 - 74
Fresh Issue (Rs cr)	800
Offer for sale (Rs cr)	1,400
Issue Size (Rs cr)	2,200
No. of shares	31,42,85,714 - 29,72,97,297
Face Value (Rs)	10
Post Issue Market Cap (Rs cr)	12,382 – 13,520
BRLMs	ICICI Securities, Morgan Stanley India Company, Kotak Mahindra Capital, Axis Capital, HDFC Bank, Motilal Oswal Investment Advisors
Registrar	KFin Technologies Limited
Bid Lot	200 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB shares	15%

Objects of Issue	
Estimated utilization from net proceeds (Rs cr)	
Augmentation of capital base to maintain and strengthen solvency levels [^]	-
(Less) Offer related expenses*	-
Total proceeds from fresh issue	800

* To be finalised upon determination of the Offer Price and updated in the Prospectus prior to filing with the RoC.

[^]For more information related to utilization of funds, visit RHP page no 117.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	1,53,10,08,578	89.1
Public & Others	18,79,09,712	10.9
Total	1,71,89,18,290.0	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	1,33,10,08,578	72.6
Public & Others	50,21,95,426	27.4
Total	1,83,32,04,004	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	1,34,18,19,389	73.4
Public & Others	48,52,07,009	26.6
Total	1,82,70,26,398	100.0

Source: RHP, SSL Research

Key Financials

Particulars	FY22	FY23	FY24	1QFY25
Gross Direct Premium	2,810.0	4,073.0	5,607.6	1,464.2
Net Earned Premium	1,752.5	2,662.8	3,811.2	1,018.0
Income	2,113.9	3,165.2	4,195.5	1,159.3
PAT	-196.5	12.5	81.9	-18.8
EPS*	-1.2	0.1	0.5	-0.1
P/BV	24.8	15.1	6.1	6.2
P/E*	-	1,003.3	153.7	-
RoNW	-38.7	1.9	5.7	-0.9

Note: PE & P/BV is based on pre-issue at upper band

**Not annualised*

Source: RHP, SSL Research

Risk Factors

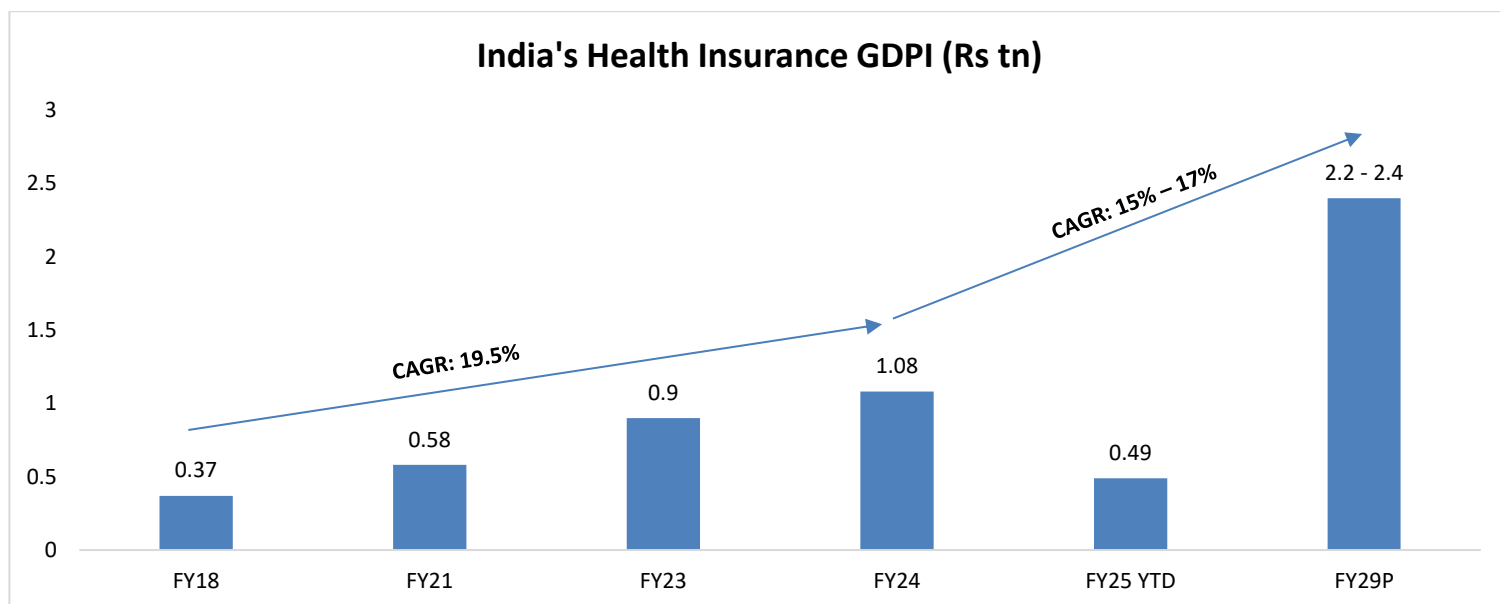
- **Product pricing & underwriting risks:** The company's profitability depends on the ability to manage the underwriting risks and appropriately priced products and any failure to accurately estimate medical expenses or the frequency of claims could have a material adverse effect on the business, financial condition, results of operations, cash flows and prospects.
- **Revenue concentration:** As a significant portion of the business revenue is generated from the health insurance line (i.e. 98% of the income in FY24) of business, any adverse changes to the demand for health insurance products and the retail health insurance sector may affect the sale of the health insurance products and affect the profitability.
- **Product alignment according to customer needs:** If the company fails to align the retail health insurance products with the targeted customers' needs, the revenue and profitability of the business will be impacted.
- **Inspection & Regulatory risk:** The company is subject to extensive supervision and regulatory inspections (onsite and offsite, thematic or otherwise) by IRDAI and any regulatory and statutory actions against the company or company's distributors could cause them reputational harm and have a material adverse effect on the business.
- **Approvals from IRDAI:** The success of the business depends on the ability to attract and retain, as well as obtaining timely approvals from IRDAI with respect to, the senior management and employees in critical roles, and the loss of their services could have a material adverse effect on the business.

Growth Strategies

- Continuing to grow product portfolio to serve the needs of customers, expanding partnerships with network hospitals, and further develop healthcare ecosystem.
- Continue to invest in technology and analytics to facilitate the sales and servicing of the products.
- Further expand presence in existing geographies within India, invest in deepening distribution channels and increase market share in retail health insurance.
- Continue to invest in talent recruitment, development and retention to drive execution.
- Deepen culture of sustainability and 'doing the right thing' to create a sustainable health franchise for future generations.

Industry Overview

India's health insurance premiums are expected to reach Rs 2.4 tn by FY29E: India's health insurance sector has witnessed rapid growth since FY18. The health insurance GDPI has more than doubled from Rs 0.37 tn in FY18 to Rs 1.08 tn in FY24, growing at a CAGR of 19.5%. As per Redseer estimates, total health GDPI is expected to reach Rs 2.2 - 2.4 tn by FY29E.

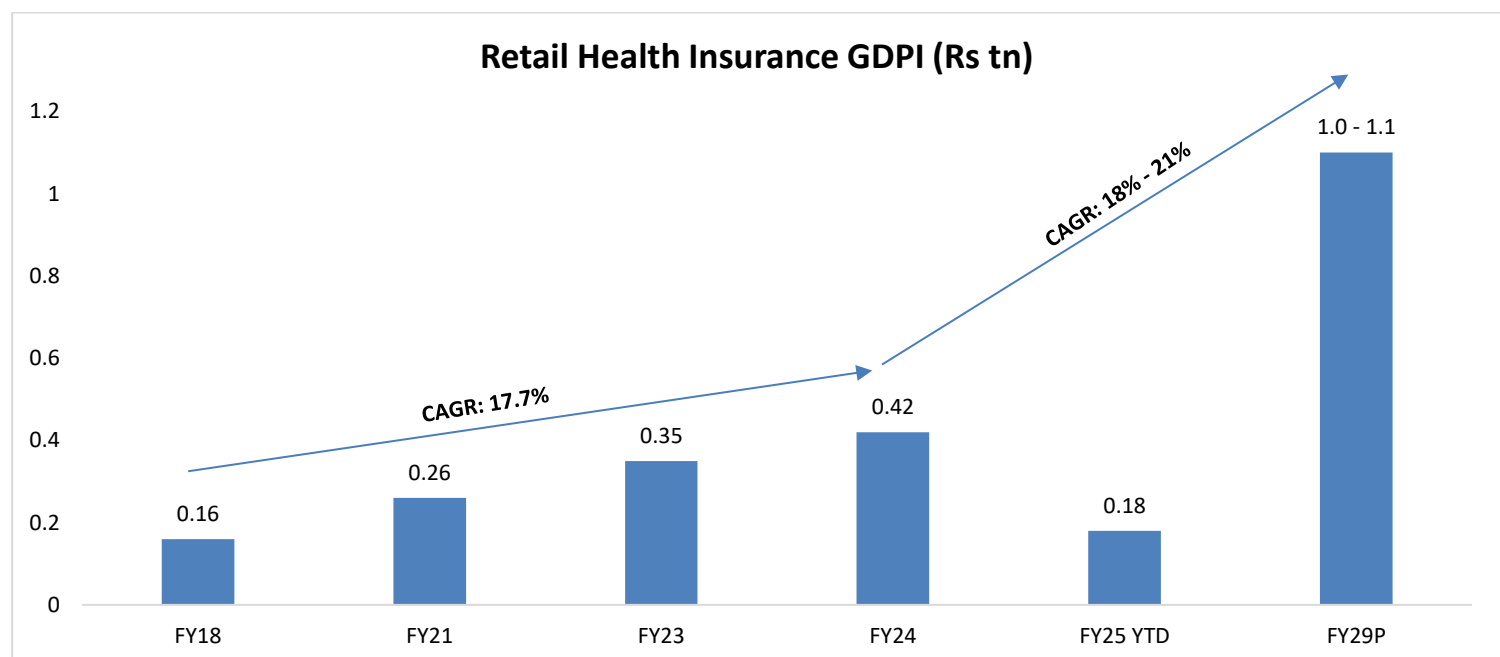


GDPI: Gross direct Premium Income

Notes: (1) Health insurance excludes overseas medical insurance and personal accident (2) P - Projected; (3) FY25 YTD data till Aug'FY25

Source: RHP, SSL Research

Retail health insurance is expected to reach Rs 1.1 tn by FY29E: Retail health insurance currently accounts for ~39% of the overall health insurance for FY24, having grown at a CAGR of 17.7% between FY18 and FY24. Going forward, it is expected to grow at a CAGR of 18-21% over the next 5 years to reach approximately Rs 1.0-1.1 tn by FY29E. The retail health insurance segment is the most promising segment in the health insurance industry in India as of Mar'24, due to higher average premium per life, higher renewal rates and lower Combined Ratios as compared to group health insurance.

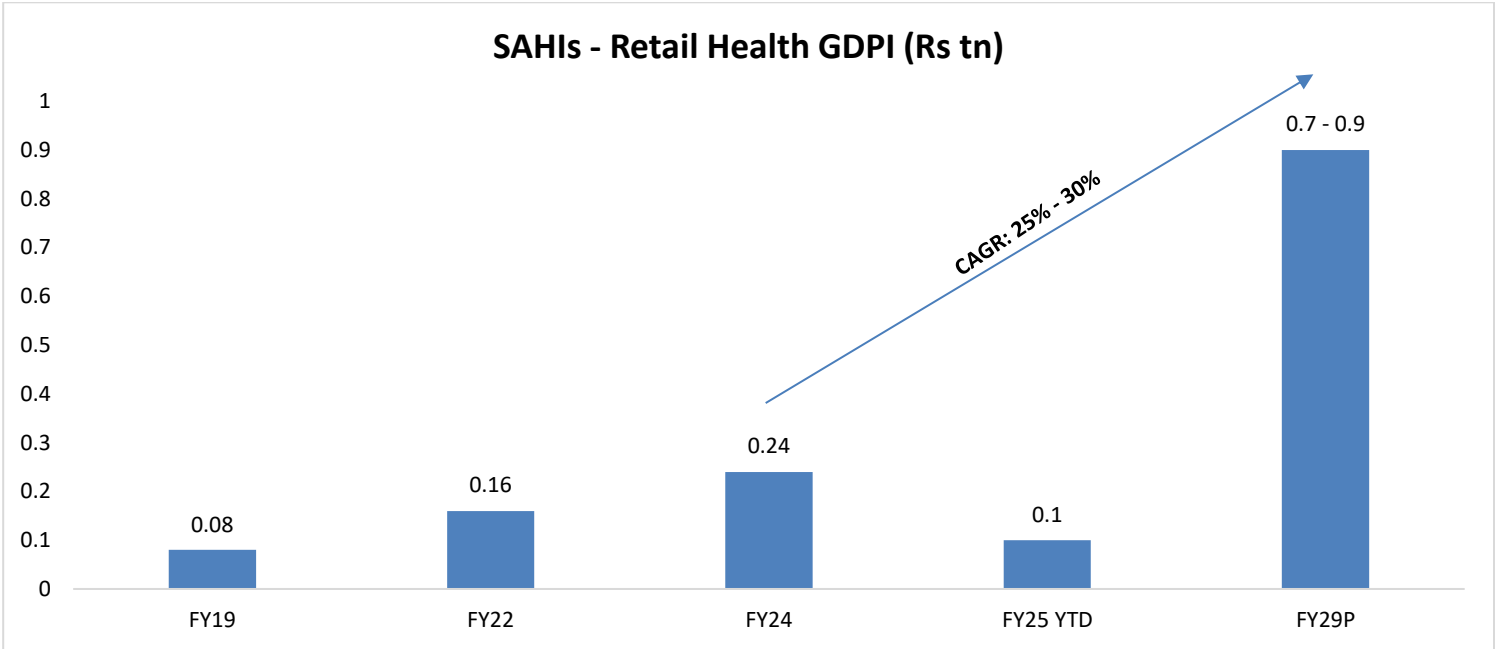


Note: (1) Lives insured under health insurance includes travel and excludes personal accident, lives insured for FY24 not available as of September 2024 (2) Health insurance GDPI data excludes overseas medical insurance and personal accident (3) P - Projected; (4) FY25 YTD data till Aug'FY25

Source: RHP, SSL Research

SAHIs are expected to reach ~3-3.5x of their current GDPI by FY29: SAHIs GDPI has already quadrupled in last 6 years and is expected to reach Rs 0.7-0.9 tn growing at a CAGR of 25-30% from FY24 to FY29E. Their focus on health products allows for innovation and a wider

range of offerings. Additionally, increased focus on tier 2+ markets (cities/areas with population below 2 mn), tie-ups with new Banca partners and stronger emphasis on digital sales will further add to the growth.



SAHIs: Standalone Health Insurance company
 Note: 1) SAHIs retail health insurance data excludes overseas medical insurance and personal accident (2) P – Projected; (3) FY25 YTD data till Aug’FY25
 Source: RHP, SSL Research

Financial Snapshot

Income Statement - Policyholder (Rs cr)	FY22	FY23	FY24	1QFY25
Premiums earned (Net)	1,752.5	2,662.8	3,811.2	1,018.0
Profit/Loss on sale/redemption of Investments	5.3	3.5	3.9	2.4
Interest, dividend & Rent – Gross	82.0	130.8	162.7	55.1
Other				
(a) Other Income				
(b) Contribution from the Shareholders' Account				
(i) Towards Excess Expenses of Management	271.7	364.2	216.5	83.8
(ii) Towards remuneration of MD/CEO/WTG/Other KMPs	2.4	3.9	1.2	
(iii) Others				
Total (A)	2,113.9	3,165.2	4,195.5	1,159.3
Claims Incurred (Net)	1,088.6	1,439.3	2,249.5	651.8
Commission	120.4	190.8	748.2	228.0
Operating Expenses related to Insurance Business	859.2	1,184.1	1,009.8	256.2
Total (B)	2,068.2	2,814.2	4,007.5	1,136.1
Operating Profit/(Loss) [C= (A - B)]	45.7	351.0	188.0	23.2
Appropriations				
Transfer to Shareholders' Account	45.7	351.0	188.0	23.2
Transfer to Catastrophe Reserve				
Transfer to Other Reserves				
Total (C)	45.7	351.0	188.0	23.2

Income Statement - Shareholder (Rs cr)	FY22	FY23	FY24	1QFY25
Operating profit/(loss)	45.7	350.9	188.0	23.2
Income from investments				
Interest, Dividend & Rent – Gross	37.5	54.1	133.7	46.0
Profit on sale of investments	0.9	1.4	3.3	2.0
(Loss on sale/redemption of investments)				
Amortization of Premium / Discount on Investments	-0.9	0.5	0.6	0.7
Other income				
Gain/(loss) on foreign exchange fluctuation	-0.1	-0.0	-0.2	-0.0
Interest income on fixed deposits	0.2	0.8	0.9	0.1
Provisions written back	7.1	5.4	2.4	0.6
Total (A)	90.5	413.1	328.7	72.6
Provisions (Other than taxation)				
For diminution in the value of investments	-20.0			
For doubtful debts	22.2	1.0	1.8	0.8
Other Expenses				
Expenses other than those related to Insurance Business				
(i) Director's sitting fees	0.7	0.5	0.6	0.2
Others	3.5	4.1	0.1	
Interest on subordinated debt	6.5	26.8	26.8	6.7
Contribution to Policyholders' A/c				
(i) Towards Excess Expenses of Management	271.7	364.2	216.5	83.8
(ii) Towards remuneration of MD/CEO/WTG/Other KMPs	2.4	3.9	1.2	
Total (B)	287.0	400.5	246.9	91.4
Profit/(Loss) Before Tax	-196.5	12.5	81.9	-18.8
Provision for Taxation				
Profit/(Loss) after tax	-196.5	12.5	81.9	-18.8
Appropriations				
Interim dividends paid during the period / year				
Final dividend paid				
Transfer to any Reserves or Other Accounts				
Balance of profit/(loss) brought forward from last year	-829.8	-1,026.4	-1,013.8	-932.0
Balance carried forward to Balance Sheet	-1,026.4	-1,013.8	-932.0	-950.8

Balance Sheet (Rs cr)	FY22	FY23	FY24	1QFY25
Sources of Funds				
Share capital	1,408.6	1,510.7	1,699.5	1,700.1
Share application money pending allotment			0.2	2.8
Reserves and surplus	125.4	334.3	1,282.0	1,282.4
Head office account				
Fair value change account				
Shareholders' Funds	-2.0	-3.4	0.8	-2.4
Policyholders' Funds	0.0	0.3	0.0	2.3
Borrowings	250.0	250.0	250.0	250.0
Total	1,782.0	2,091.9	3,232.6	3,235.2
Application of Funds				
Investments - Shareholders	869.6	1,155.4	2,585.5	2,589.7
Investments - Policyholders	1,531.7	2,210.6	2,872.8	3,084.8
Loans				
Fixed Assets	49.7	55.6	58.8	55.7
Deferred Tax Asset (Net) (refer note 47 of schedule 17)				
Current Assets:				
Cash and Bank Balances	58.8	101.9	142.8	101.3
Advances and Other Assets	228.6	353.0	532.0	710.7
Sub-Total (A)	287.4	454.9	674.8	812.0
Deferred Tax Liability (Net) (refer note 47 of schedule 17)				
Current Liabilities	891.1	1,184.4	1,663.7	1,894.9
Provisions	1,091.7	1,614.1	2,227.5	2,362.7
Sub-Total (B)	1,982.8	2,798.5	3,891.2	4,257.6
Net Current Assets (C) = (A - B)	-1,695.3	-2,343.6	-3,216.4	-3,445.6
Miscellaneous Expenditure				
Debit Balance In Profit And Loss Account	1,026.4	1,013.8	932.0	950.8
Total	1,782.0	2,091.9	3,232.6	3,235.2

Valuation ratios are based on pre-issue capital at upper band

Source: RHP, SSL Research

Peer Comparison – FY24

Particulars	Niva Bupa Health Insurance Company Ltd.	Star Health & Allied Insurance Company Ltd.	ICICI Lombard General Insurance Company Ltd.	New India Assurance Company Ltd.
Retail health GWP (Rs cr)	3,839.7	13,951.2	1,244.5	3,098.8
Retail health market share (%)	9.1	33.1	3.0	7.3
Retail health accretion market share (%)	12.9	29.6	3.1	7.3
Gross direct written premium (Rs cr)	5,607.6	15,254.5	24,776.1	40,363.8
Gross written premium (Rs cr)	5,607.6	15,254.5	25,594.2	41,996.5
Net written premium (Rs cr)	4,421.0	14,067.4	18,165.6	34,407.4
Premium earned (Rs cr)	3,811.2	12,938.3	16,866.5	34,028.3
AUM (Rs cr)	5,458.2	15,490.9	48,907.2	81,311.1
CMP (Rs)	74.0	480.0	1,916.0	190.0
Market Cap. (Rs cr)	13,520.0	28,212.0	94,719.0	31,269.0
PAT (Rs cr)	82	845	1,919	1,120
Enterprise Value (Rs cr)	12,868.7	28,388.0	94,612.0	18,615.0
P/E (x)	165.2	33.4	49.4	27.9
P/BV (x)	4.7	4.0	7.0	1.0
ROE (%)	5.7	14.3	17.0	1.2
ROA (%)	3.1	5.1	3.2	0.3

The data is based on FY24 financial data.

For Niva Bupa Health Insurance Company Ltd, the P/E, P/BV, Market cap and Enterprise value are calculated on post-issue equity share capital based on the upper price band.

CMP as on 5th November 2024

Source: RHP, SSL Research

SBICAP Securities Limited

(CIN): U65999MH2005PLC155485 | Research Analyst Registration No INH000000602

SEBI Registration No.: Stock Broker: INZ000200032 | CDSL: IN-DP-314-2017 | NSDL: IN-DP-NSDL-369-2014 | Research Analyst: INH000000602

IRDA/RW/IR2/2015/081 | IRDA/RW/IR1/2016/041 | IRDA: CA0103

Registered & Corporate Office: Marathon Futurex, A Wing, 12th Floor, N. M. Joshi Marg, Lower Parel, Mumbai-400013.

For any information contact us:

022-6854 5555**E-mail: helpdesk@sbicapsec.com | Web: www.sbisecurities.in****DISCLOSURES & DISCLAIMERS:**

Analyst Certification: The views expressed in this research report ("Report") accurately reflect the personal views of the research analysts ("Analysts") employed by SBICAP Securities Limited (SSL) about any and all of the subject issuer(s) or company(ies) or securities. This report has been prepared based upon information available to the public and sources, believed to be reliable. I/We also certify that no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendation(s) or view(s) in this report.

The Analysts engaged in preparation of this Report or his/her relative:-

- (a) do not have any financial interests in the subject company mentioned in this Report; (b) do not own 1% or more of the equity securities of the subject company mentioned in the report as of the last day of the month preceding the publication of the research report; (c) do not have any material conflict of interest at the time of publication of the Report.

The Analysts engaged in preparation of this Report:-

- (a) have not received any compensation from the subject company in the past twelve months; (b) have not managed or co-managed public offering of securities for the subject company in the past twelve months; (c) have not received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months; (d) have not received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months; (e) has not received any compensation or other benefits from the subject company or third party in connection with the Report; (f) has not served as an officer, director or employee of the subject company; (g) is not engaged in market making activity for the subject company.

Name	Qualification	Designation
Sudeep Shah	MMS-Finance	DVP- Technical & Derivative Research
Sunny Agrawal	B.E, MBA (Finance)	DVP - Fundamental Research
Rajesh Gupta	PGDBM (Finance), MA (Bus. Eco)	AVP - Fundamental Research
Monica Chauhan	C.A.	Research Analyst - Equity Fundamentals
Harsh Vasa	CA	Research Analyst - Equity Fundamentals
Sumeet Shah	B.E., CFA	Research Analyst - Equity Fundamentals
Sweta Padhi	MBA (Finance)	Research Analyst - Equity Fundamentals
Uday Chandgothia	B-Tech, MBA (Finance)	Research Associate - Equity Fundamentals
Gautam Updhyaya	MBA (Finance)	Research Analyst - Equity Derivatives
Vinayak Gangule	BE (IT)	Research Analyst - Equity Technicals
Ghanshyam Gupta	MBA (Finance)	Research Analyst- Currency Derivative
Sagar Peswani	B.Tech (ECE)	Research Associate - Equity Technicals
Kalpesh Mangade	B.Com	MIS Analyst - Retail Research

For other Disclosures please visit: https://bit.ly/R_disclaimer02


Sunny Agrawal

DVP – Fundamental Research


Sudeep Shah

DVP – Technical & Derivative Research